



MISERABLE CONDITION: The World Bank's new yardstick finds poverty more widespread

reach the intended. The first stop has to be in addressing the issue of converting outlays into real measurable outcomes. Next on the agenda should be making the 14-million youth pouring into the job market employable through a nation-wide skills set training mission. The creation of jobs and incomes would then not only fuel consumption but also revenue growth to fund social security schemes.

As India awaits its tryst with deliverance, the new numbers have raised questions about the durability of the rising middle-class story. Is the middle class as big as it was touted to be? That depends on who is defining the middle-class. India, it would seem, resides in quintiles and growth is exceptionally skewed.

The National Sample Survey reported in 2004-05 that incomes in urban India in the top quintile was Rs 3,78,000 while in the bottom quintile was Rs 23,285 per annum. Every quintile is a market.

There is no escaping the economic stratification though. An economy that consumes in a year over 1.5 million cars, 12.5 million television sets, 7.2 million two-wheel-

ers, added Rs 4,00,000 crore to bank deposits in 2007-08 and devoured over 9.2 million mobile connections in a month is also home to the largest number of poor people. As Rama Bijapurkar, marketing strategy consultant, says, "Once again, the numbers prove that there is no one India, nor one India story." The poverty conundrum is, thus both a challenge and an opportunity. It is up to the political class to make or mar India's tryst with deliverance. ■

THE INDIAN TIMELINE OF POVERTY

Marginally lower, the number of absolutely poor varies according to the income measure used

YEAR	1981	1984	1987	1990	1993	1996	1999	2002	2005*
\$1/DAY	296.1	282.2	285.3	282.5	280.1	271.3	270.1	276.1	266.5**
\$1.25/DAY	420.5	416	428	435.5	444.3	441.8	447.2	460.5	455.8
\$2/DAY	608.9	635.6	669	701.6	735	757.1	782.8	813.1	827.7
\$2.5/DAY	650.3	686.1	725	766.5	808.8	841.1	875.2	911.4	938

* India's population in 2005 was 1,080 million; ** Figures denote population in million

Research who finds the entire World Bank exercise curious, says, "If one doesn't compare apples with oranges, no one can deny that global poverty has dropped dramatically because of India and China." Perhaps, the speed is slower than required. India, growing at 9 per cent, creates 12 million jobs and the answer clearly is high growth to deliver employment and incomes but that calls for sustained reforms.

There is no dearth of prescriptions, only lack of political leadership. In fact,

a new Asian Development Bank report on estimating the number of poor in 2020 says poverty reduction can differ by at least 7 per cent depending on policies. Simply pro-poor policies could lift 126 million Indians out of poverty while pro-rich policies only 28 million by 2020. Indeed, India spends nearly Rs 90,000 crore on poverty alleviation—if the money spent on subsidies is added, the figure would be threefold. The expenditure is more than ever before but the money clearly doesn't

750 MN

people lived below Rs 20 a day, claimed the Arjun Sengupta Commission in 2006.

621.9 MN

or 54.8 per cent earn less than \$1.35 a day, says the Asian Development Bank.